

Canada Bread Company, Limited

Interim Report to Shareholders

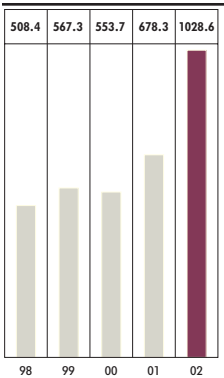
for the **Third Quarter** ended September 30, 2003

Delivering Results

Quarterly Financial Information

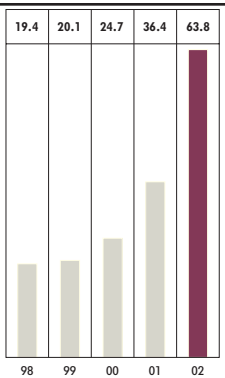
The following is a summary of unaudited quarterly financial information for the third quarter of the year ended September 30, 2003, and the years ended December 31, 2002 and 2001 (millions of dollars except per share amounts). In accordance with changes in generally accepted accounting principles, effective January 1, 2002, the Company no longer amortizes goodwill. The 2001 (pro forma) numbers in this table have been re-stated to take into account this change.

2003	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	YTD
Sales	$ 309	$ 313	$ 324	$ —	$ 946
Earnings from operations, before unusual items	14	15	17	—	46
Earnings from operations	7	15	17	—	39
Net earnings before unusual items	8	9	12	—	29
Net earnings	3	9	12	—	24
Net earnings per share before unusual items	0.34	0.36	0.44	—	1.14
Net earnings per share (basic)	0.14	0.36	0.44	—	0.95
Net earnings per share (diluted)	0.14	0.35	0.44	—	0.94
2002					
Sales	$ 231	$ 256	$ 273	$ 269	$ 1,029
Earnings from operations	11	17	19	17	64
Net earnings	7	10	12	10	39
Net earnings per share	0.30	0.47	0.55	0.48	1.80
2001					
Sales	$ 137	$ 148	$ 155	$ 238	$ 678
Pro forma earnings from operations	7	8	10	15	40
Pro forma net earnings	4	5	7	8	24
Pro forma net earnings per share	0.19	0.21	0.33	0.39	1.12



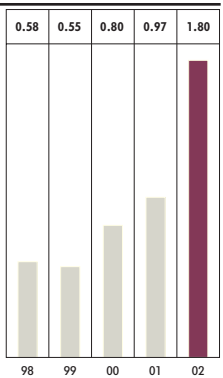
SALES
(millions of dollars)

Sales surpassed the $1 billion mark.



EARNINGS FROM OPERATIONS
Before unusual items
(millions of dollars)

Strong earnings reflects internal growth of 8% as well as contributions from acquisitions.



EARNINGS PER SHARE
Before unusual items
(dollars)

Earnings per share increased 61% over the prior year.

Report To Shareholders
Management's Discussion and Analysis

The third quarter financial results for Canada Bread reflect volume increases in both our fresh and frozen par-baked operations. This solid performance was partially offset by a labour dispute at a Quebec distribution centre which was resolved during the quarter.

Sales for the quarter increased 19% to $324.0 million from $272.6 million for the prior year period, while sales for the first nine months increased 25% to $945.5 million compared to $759.4 million for the prior year. The increase in sales was primarily due to the acquisition of Maple Leaf Bakery assets in the U.S. and the U.K. as well as increased fresh bread business. Before accounting for acquisitions, sales for the quarter decreased by 4% (a 3% decrease year-to-date). Volume increased in both the fresh and frozen businesses in the third quarter but the weakening U.S. dollar reduced the value of sales in the United States.

Earnings from operations decreased 13% to $16.7 million from $19.2 million last year. The decline in earnings was entirely due to the costs of a strike at one of the Company's distribution centres in Quebec, which was settled in early September. Excluding the effects of the strike, earnings for the quarter would have reflected an increase of 12% from last year. Year-to-date earnings from operations, not including a $7.4 million pre-tax charge in the first quarter related to a plant closure, decreased 1% to $46.2 million from $46.8 million last year. Excluding the effect of the strike costs, year-to-date operating earnings before unusual items increased by 15%.

The Company continued to grow sales and volume in the commercial fresh bread market, driven by its focus on value-added products and strong brands. Fresh sales to the U.S. increased in the quarter, as did sales in the Quebec and Ontario markets. Strong market share growth continued, driven by sales of *Dempster's Stays Fresh to the Last Slice*.

The Frozen Bakery operations secured new in-store bakery business in both the United States and Canada, as well as several new food service contracts. Grace Baking has extended sales of its partially baked artisan bread products into Canada and through new U.S. national retail accounts. While flour costs have moderated somewhat, other factors such as energy, packaging materials and labour costs have increased compared to the same period last year.

Interest expense for the third quarter increased to $1.8 million from $0.6 million for the prior year period, due to higher debt levels arising from the acquisition of the Maple Leaf Foods bakery assets in the United States and the United Kingdom late in 2002.

Net earnings for the third quarter were $11.3 million ($0.44 per share), compared to $11.9 million ($0.55 per share) last year, reflecting the lower operating earnings and higher interest expenses, and the effect of the issuance in the first quarter of four million shares from treasury. Net earnings for the first nine months were $23.8 million ($0.94 per share) compared with $28.3 million ($1.32 per share) last year. After adjusting for the restructuring charge in first quarter, and the effect of the strike costs in Quebec, third quarter earnings per share of $0.57 ($1.33 year-to-date) compared to $0.55 last year ($1.32 year-to-date).

During the quarter, the Company acquired the assets of a waffle manufacturer located in Toronto for $5.6 million.

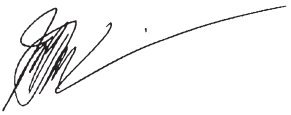
The Company declared a dividend of $0.06 per share payable on January 2, 2004 to shareholders of record on December 12, 2003.

Forward-looking Statements
This document contains forward-looking statements, which are subject to risks and uncertainties that could cause actual results to differ materially from those expressed in, or implied by, these statements. Refer to the Company's annual report, management information circular, annual information form and other filings with the Ontario Securities Commission and Toronto Stock Exchange for further information on risks and uncertainties that could cause actual results to differ materially from forward-looking statements.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

October 22, 2003

Consolidated Balance Sheets

In thousands of Canadian dollars	As at September 30, 2003	As at September 30, 2002	As at December 31, 2002
ASSETS	*(Unaudited)*	*(Unaudited)*	
Current assets:			
Cash	**$ 17,864**	$ 8,800	$ 12,389
Accounts receivable (note 3)	**56,767**	27,428	59,911
Due from Maple Leaf Foods	**2,569**	8,986	—
Inventories	**30,484**	24,143	30,512
Future tax asset	**6,633**	3,479	5,274
Prepaid expenses	**5,574**	2,330	2,490
	119,891	75,166	110,576
Property and equipment	**330,146**	238,535	334,606
Other long-term assets	**3,986**	4,641	3,098
Goodwill and other intangibles	**330,687**	170,806	346,083
	$ 784,710	$ 489,148	$ 794,363
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities:			
Accounts payable and accrued charges	**$ 154,907**	$ 123,369	$ 159,937
Dividends payable	**1,525**	1,285	1,285
Income and other taxes payable	**4,280**	10,194	11,862
Current portion of long-term debt	**33,586**	8,437	7,954
	194,298	143,285	181,038
Long-term debt (note 5)	**136,749**	36,263	274,435
Future tax liability	**27,245**	33,962	34,179
Shareholders' equity (note 6)	**426,418**	275,638	304,711
	$ 784,710	$ 489,148	$ 794,363

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Consolidated Statements of Earnings

In thousands of Canadian dollars, except per share amounts *(Unaudited)*	Quarter ended September 30, 2003	Quarter ended September 30, 2002	Nine months ended September 30, 2003	Nine months ended September 30, 2002
Sales	**$ 324,024**	$ 272,558	**$ 945,532**	$ 759,395
Earnings from operations before unusual items	**16,698**	19,171	**46,217**	46,827
Unusual items (note 2)	**—**	—	**(7,422)**	—
Earnings from operations	**16,698**	19,171	**38,795**	46,827
Other income	**174**	1	**438**	28
Earnings before interest and income taxes	**16,872**	19,172	**39,233**	46,855
Interest expense	**1,778**	604	**6,546**	2,660
Earnings before income taxes	**15,094**	18,568	**32,687**	44,195
Income taxes	**3,793**	6,638	**8,885**	15,799
Earnings before minority interest	**11,301**	11,930	**23,802**	28,396
Minority interest	**—**	—	**—**	57
Net earnings for the period	**$ 11,301**	$ 11,930	**$ 23,802**	$ 28,339
Earnings per share – basic	**$ 0.44**	$ 0.55	**$ 0.95**	$ 1.32
Earnings per share – diluted	**$ 0.44**	$ 0.55	**$ 0.94**	$ 1.32
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.18**	$ 0.18
Weighted average number of shares (millions)	**25.4**	21.4	**25.0**	21.4

Consolidated Statements of Retained Earnings

In thousands of Canadian dollars except per share amounts *(Unaudited)*	Nine months ended September 30, 2003	Nine months ended September 30, 2002
Retained earnings, beginning of period	**$ 247,746**	$ 214,189
Net earnings for the period	**23,802**	28,339
Dividends declared ($0.18 per share; 2002 – $0.18 per share)	**(4,575)**	(3,855)
Retained earnings, end of period	**$ 266,973**	$ 238,673

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Cash Flows

In thousands of Canadian dollars *(Unaudited)*	Quarter ended September 30, **2003**	Quarter ended September 30, 2002	Nine months ended September 30, **2003**	Nine months ended September 30, 2002
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings for the period	**$ 11,301**	$ 11,930	**$ 23,802**	$ 28,339
Items not affecting cash:				
Depreciation	**9,821**	6,497	**28,574**	21,307
Minority interest	**—**	—	**—**	57
Future income taxes	**918**	(1,520)	**(3,220)**	(2,981)
Loss (gain) on sale of property and equipment	**(125)**	61	**(293)**	34
Changes in non-cash operating working capital	**8,171**	32,235	**(16,446)**	22,840
	30,086	49,203	**32,417**	69,596
Financing activities				
Dividends paid	**(1,525)**	(1,285)	**(4,335)**	(3,855)
Increase (decrease) in long-term debt, net	**6,647**	(25,094)	**(84,751)**	(1,405)
Increase in share capital	**—**	—	**106,000**	—
	5,122	(26,379)	**16,914**	**(5,260)**
Investing activities				
Additions to property and equipment	**(19,577)**	(6,209)	**(39,500)**	(14,317)
Proceeds from sale of property and equipment	**255**	—	**539**	817
Purchase of net assets of businesses, net of cash acquired (note 4)	**(5,586)**	(25,426)	**(5,586)**	(41,371)
Other	**691**	—	**691**	—
	(24,217)	(31,635)	**(43,856)**	(54,871)
Increase (decrease) in cash for the period	**10,991**	(8,811)	**5,475**	9,465
Cash (bank indebtedness), beginning of period	**6,873**	17,611	**12,389**	(665)
Cash, end of period	**$ 17,864**	$ 8,800	**$ 17,864**	$ 8,800

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Notes to Consolidated Financial Statements

(For the quarters ended September 30, 2003 and September 30, 2002)

1. Significant Accounting Policies

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2002. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2002.

2. Unusual Items

During the first quarter of 2003, the Company recorded a $7.4 million restructuring charge ($4.8 million net of tax), related to the closure of its bakery in London, Ontario and certain other operational restructuring items.

3. Accounts Receivable

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At September 30, 2003, trade accounts receivable amounting to $50.0 million (September 30, 2002 – $50.0 million) had been sold under these programs.

4. Acquisitions

On July 4, 2003, the Company purchased the assets of a waffle manufacturer located in Richmond Hill, Ontario for $5.6 million and the transaction is subject to further closing adjustments.

5. Long-Term Debt

	Quarter ended September 30,	
	2003	2002
External long-term debt	**$ 86,463**	$ 44,700
Due to Maple Leaf Foods Inc.	**103,872**	—
	190,335	44,700
Less: Current portion	**33,586**	8,437
Portion classified as equity	**20,000**	—
	$136,749	$ 36,263

In 2003, the Company entered into a five-year cross-currency swap with Maple Leaf Foods Inc. ("Maple Leaf") to hedge U.S. dollar denominated assets. This swap requires Canada Bread to pay interest of 3.48% per annum on U.S. $140.0 million and receive interest of 4.45% per annum on Cdn. $219.6 million. The debt with Maple Leaf is net of the fair value of the swap.

6. Shareholders' Equity

On January 28, 2003, the Company issued four million shares to Maple Leaf from Treasury at $26.50 per share in a private placement transaction. Proceeds from the financing of $106 million were used to pay down debt owing by the Company to Maple Leaf.

7. Contingencies and Commitments

In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $17 million. The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.



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